
INDEPENDENT EQUITY & M&A RESEARCH
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Merger & Acquisition Analysis

The \$5 Trillion Merger Nobody Can Price: SpaceX + Tesla

A Standalone Valuation, Merger Mechanics, and Governance Analysis of a
Hypothetical Combination of SPCX and TSLA

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1. Executive Summary

Bottom line: at every exchange ratio management is likely to consider (0.3x–0.7x TSLA-per-SPCX-share), a Tesla/SpaceX combination is mechanically dilutive to Tesla shareholders on both GAAP EPS and Adjusted EBITDA-per-share — and no plausible synergy program closes the gap. The case for the deal, if one exists, is a control and capital-structure story, not an earnings story.

This report evaluates a hypothetical stock-for-stock combination of Tesla, Inc. (TSLA) and SpaceX (SPCX) — a deal that has moved from thought experiment to a live, frequently-discussed possibility in 2026 following SpaceX's all-stock merger with xAI in February and its record-setting \$75 billion initial public offering on Nasdaq on June 12, 2026. The IPO priced SpaceX at \$135 per share (\$1.75 trillion valuation), and the stock has since traded as high as the low-\$220s before settling in the \$190–\$200 range — roughly 25–28% above the \$164 consensus price target of the five sell-side analysts now covering the name. Tesla, for its part, closed June 16, 2026 at \$406.43 per share, a \$1.53 trillion market capitalization, against a backdrop of its first-ever annual revenue decline in fiscal 2025 (-3% YoY) and a trailing P/E above 375x.

A simple addition of the two companies' current market values — \$1.528 trillion (TSLA) plus \$2.593 trillion (SPCX) — produces a combined equity value of **\$4.12 trillion** before any control premium or synergy is layered in, which is what makes the “\$5 trillion” framing of this report realistic rather than rhetorical: a modest premium and a bull-case synergy program would carry the combined entity past that threshold. The question this report answers is not whether a combined company *could* be worth \$5 trillion in some scenario — it plainly could — but whether getting there through a merger *creates* value relative to the two companies remaining standalone, and on what terms Elon Musk, who controls both companies, would actually agree to it.

Five findings drive our conclusion

- **The deal is structurally dilutive, not just “expensive.”** Using FY2025A standalone financials with zero synergies, combined GAAP net income is **negative \$1.11 billion** (Tesla's \$3.79 billion profit is overwhelmed by SpaceX's \$4.90 billion net loss, which includes a \$6.35 billion xAI segment operating loss). At a 0.3x exchange ratio, pro forma EPS is -113.4% versus Tesla standalone; at 0.5x, -110.0%; at 0.7x, -108.0%. On an Adjusted EBITDA-per-share basis — the metric more relevant given Tesla's heavy current depreciation load — dilution is smaller but still severe: -28.7% at 0.3x, -46.7% at 0.5x, -57.5% at 0.7x. The breakeven exchange ratio on an EBITDA/share basis is only 0.13x, far below any ratio management would credibly propose to SpaceX shareholders.
- **The dilution is a multiple-arbitrage problem, not a fairness problem.** SpaceX trades at roughly 266x EV/EBITDA at its IPO valuation and ~394x at the current \$200 share price; Tesla trades at 102.7x EV/EBITDA on FY2025A figures (~136x on a trailing basis per third-party data). Issuing Tesla's comparatively “cheaper” stock to acquire SpaceX's far richer-multiple EBITDA base is mechanically dilutive to Tesla holders almost regardless of whether the headline exchange ratio is judged “fair.” This is the central analytical insight of this report: the deal can be priced fairly to SpaceX shareholders and still destroy per-share value for Tesla shareholders, because the two stocks are being valued by the market on entirely different bases.

- **Neither company's trading price is explainable by discounted cash flow — both are option-value plays.** Our 10-year DCFs imply a standalone intrinsic value of \$37–\$67/share for Tesla (vs. \$406.43 trading) and \$10–\$26/share for SpaceX (vs. ~\$200 trading). Sum-of-the-parts analysis tells the same story: Tesla's core auto-and-energy business, valued at a normal 9–13x EBITDA multiple, accounts for only 9–13% of Tesla's enterprise value — the remaining 87–91% is the market's bet on Robotaxi, FSD, and Optimus. SpaceX's segment-level sum-of-the-parts (Starlink at a satcom-infrastructure multiple, Launch at an aerospace-services multiple, the AI segment at a haircut to OpenAI's revenue multiple) implies \$151–\$224 billion of enterprise value against a ~\$2.59 trillion market capitalization. Combining two narrative-driven, cash-flow-light stocks does not convert that narrative into cash flow; it just makes a bigger narrative stock.
- **The governance math cuts against a plain-vanilla merger ever happening on these terms.** Musk currently holds 82.4–85.1% of SpaceX's voting power through its 10-votes-per-share Class B structure, versus only an estimated 18–20% of Tesla's single-class voting power today. Folding SpaceX into single-class Tesla stock at any of the three tested ratios leaves Musk with only 30.2–35.6% of the combined company's votes — a large, probably-controlling-in-practice stake given a dispersed public float, but a different legal category entirely from the supermajority control he holds at SpaceX today. We think this is the most underappreciated obstacle to the deal: Musk has little incentive to surrender outright control of SpaceX for influential-minority status at Tesla unless Tesla first adopts some dual-class or super-voting mechanism, a precondition neither prediction markets nor most commentary currently price in.
- **The market is already roughly pricing the probability-weighted outcome.** Blending a 45% no-deal/40% fair-terms-deal/15% premium-deal scenario set (consistent with Kalshi and Polymarket odds of a deal by 2027 of roughly 53–56%, and Wedbush's Dan Ives's well-publicized 80% by-2027 estimate as the bull tail) produces a probability-weighted SpaceX value of \$197.76 — within 1.1% of the current \$200 trading price. SpaceX's premium to sell-side fundamental coverage is therefore better explained as the market pricing in real (if uncertain) M&A optionality than as pure speculative froth, even though the stock looks expensive on any standalone metric.

Recommendation

We rate the merger thesis itself **NEUTRAL** as a base case: the probability-weighted math suggests the market has already absorbed the optionality, and the per-share economics for Tesla shareholders are unattractive at every commonly-discussed ratio absent a dual-class restructuring or an extraordinarily aggressive synergy program neither management has indicated it can deliver. On the individual names, we rate Tesla **HOLD** with a 12-month price target of \$410–\$450 (modest upside tied to FSD/Robotaxi execution, not the merger), and we rate SpaceX a tactical **TRIM** into strength with a 12-month base-case target of \$164–\$190, reflecting both the sell-side consensus anchor and the risk that AI-segment losses (which widened to \$4.28 billion in Q1 2026 alone, against a backdrop of a complete co-founder exodus from xAI by March 2026) continue to outpace Starlink's profitability gains. Full supporting analysis follows.

2. Strategic Rationale

The strategic case for combining Tesla and SpaceX is not primarily about combining two car-and-rocket businesses; nearly every credible argument for the deal runs through artificial intelligence, compute, and capital allocation rather than through traditional product or distribution synergy. We separate the rationale into four pillars and weigh each against the obvious counter-argument.

2.1 The compute and data flywheel

Both companies are, at bottom, betting enormous capital on the same underlying technology: large-scale machine learning applied to physical control problems. Tesla's Full Self-Driving stack is trained on a fleet-scale video and sensor dataset that has no real precedent outside of SpaceX/xAI's Grok models, which were built on a comparably large compute buildout (the Colossus cluster) and which Musk has pushed toward robotics and "physical AI" applications, including Optimus. A combined entity could in principle consolidate GPU/accelerator procurement, share simulation and reinforcement-learning infrastructure between Optimus and SpaceX/xAI's robotics ambitions, and route Tesla's vehicle fleet data into a single foundation-model effort rather than funding two parallel, competing compute buildouts. This is the synergy case most bulls cite, and we quantify it (modestly) in Section 5; the realistic dollar magnitude is smaller than the rhetoric, because the two companies' compute stacks were built on different silicon and software assumptions and because xAI's own 2025 execution record — a complete co-founder exodus by March 2026 and Musk's own public acknowledgment that the company's initial approach needed to be rebuilt — suggests integration risk here is not hypothetical.

2.2 Connectivity as a Tesla product feature

Starlink's direct-to-cell and satellite-broadband infrastructure is a genuine complement to Tesla's connected-vehicle ambitions, particularly for Cybertruck and Semi customers operating outside reliable terrestrial coverage, and for over-the-air FSD updates to remote or rural fleets. T-Mobile's existing direct-to-cell partnership with Starlink already demonstrates commercial feasibility of the underlying technology without requiring corporate consolidation, which is the central counter-argument: Tesla can buy this connectivity as a customer/partner at arm's length (as T-Mobile does) without needing to own the satellite constellation, and SpaceX has every incentive to sell Starlink connectivity to all automakers, not just an affiliated one, to maximize subscriber economics on its \$11.4 billion (and growing) Starlink revenue base.

2.3 Capital base consolidation and cross-subsidy

SpaceX's Starship, satellite manufacturing, and AI-compute capital needs are large and persistent (FY2025A capex intensity well above Tesla's, before Tesla's own 2026 capex guidance was raised to over \$25 billion from \$20 billion). A combined entity could in theory move capital between segments more flexibly than two separately-financed public companies, using Tesla's lower cost of capital (a more seasoned credit profile, \$44.7 billion of cash, and net cash of \$28.85 billion) to fund SpaceX's heavier build-out, or using SpaceX's higher growth profile to support a richer multiple on the combined equity base. In practice, both companies already have ready access to public capital markets independently — SpaceX just raised \$75 billion in the largest IPO in history

— which weakens the traditional “capital-constrained subsidiary” argument for combination that drove, for example, many controlled-company roll-ups in the cable and media sectors.

2.4 Eliminating cross-company conflicts of interest

Musk's time, attention, and the loyalty of his senior engineering talent are scarce resources that both companies currently compete for, and that competition has been a recurring source of governance friction and shareholder litigation at both companies historically. A single combined entity removes the related-party-transaction apparatus that currently governs deals between Tesla and Musk's other ventures and could simplify proxy disclosure. Against this, combining a U.S. consumer automaker with a company holding sensitive Department of Defense and NASA contracts (Starlink/Starshield, national-security launch contracts) raises a CFIUS-adjacent national-security review question that a standalone SpaceX does not face in the same way, and that a standalone Tesla has never faced at all; regulators have historically scrutinized control and foreign-ownership questions around defense contractors far more aggressively than around consumer-facing companies, which we revisit in our Risk Matrix (Section 8).

Net assessment: the strategic logic for combination is real but modest in near-term dollar terms relative to the scale of the companies involved, and is more about long-term option-value alignment (one AI/robotics bet instead of two) and governance simplification than about immediate operating synergy. As Section 4 shows, that modest operating synergy is nowhere near large enough to offset the per-share dilution mechanics of the deal at any commonly-discussed exchange ratio.

3. Standalone Valuation — SpaceX (SPCX)

SpaceX priced its IPO on June 11, 2026 at \$135/share, raising \$75 billion across 21 underwriters (Goldman Sachs lead-left, with a 30% retail allocation) — the largest initial public offering in history, surpassing Saudi Aramco's 2019 listing. The stock opened around \$150 on its June 12 debut, closed its first session at \$160.95 (+19%), briefly traded above a \$2.25 trillion intraday valuation, and has since continued higher, trading in a \$192.50–\$225.64 range over June 15–16 against an implied total share count of 12.96 billion (back-solved from the \$1.75 trillion IPO valuation and independently cross-checked against the company's disclosed 4.3% public dilution figure). We use a representative price of \$200/share and an implied market capitalization of \$2.593 trillion throughout this report — a figure that independently matches third-party market-data providers almost exactly, validating our derived share count.

3.1 FY2025A segment financials

Segment	Revenue	Op. Income / (Loss)	Margin
Starlink (connectivity)	\$11.40B	\$4.40B	38.6%
Space & Launch services	\$4.10B	n/d	n/d
AI / xAI / Grok	n/d	(\$6.35B)	n/m
Total revenue	\$18.67B	Adj. EBITDA \$6.58B	35.2%
GAAP net loss	(\$4.90B)		

Source: SpaceX S-1 prospectus and FY2025 financial disclosures. Starlink revenue +48% YoY; total company revenue +33% YoY from \$14.1B in FY2024. Cumulative losses since the company's 2002 founding total \$41.3B per the S-1, a meaningful NOL shield reflected in our DCF tax assumptions below. Starlink's Adjusted EBITDA margin is independently disclosed at ~63%, corroborated by two separate third-party sources.

The headline growth and Starlink profitability are real and durable: Starlink now serves more than 10.3 million subscribers across 160 countries (as of February 2026), and average revenue per user, which had fallen 18% to \$81/month between 2023 and 2025 amid aggressive subscriber-acquisition pricing, was raised by up to \$10/month in May 2026 as the network approaches a more mature, less price-sensitive subscriber mix. The drag is entirely in the AI segment: xAI's operating loss reached \$6.35 billion in FY2025 and the pace of losses accelerated into 2026, with Q1 2026 AI-segment losses of roughly \$2.5 billion *per quarter*, pushing total company GAAP net loss to \$4.28 billion for the quarter alone — wider than the full-year FY2025 loss run-rate would suggest. All eleven original xAI co-founders had departed the company by the end of March 2026, and a January 2026 controversy involving Grok-generated deepfake/CSAM content created additional reputational and regulatory overhang. On June 16, 2026 — the same week as our valuation date — SpaceX announced a roughly \$60 billion all-stock acquisition of the AI coding company Cursor, with the exchange ratio set off a 7-day volume-weighted average price and break fees of \$10 billion (general) and \$4 billion (regulatory), expected to close in Q3 2026; this is itself a useful real-time precedent for how SpaceX structures exchange-ratio mechanics, which we revisit in Section 7.

3.2 Discounted cash flow

We model SpaceX on a consolidated basis over a 10-year explicit horizon, given the company has no comparable public trading history and a single year of explicit forecast risks materially understating the terminal-value sensitivity inherent in a business this early in its AI and Starlink monetization curve. Revenue growth tapers from 38% (2026) to 14% (2035) as Starlink penetration matures, Launch scales with increasing external (non-Starlink) manifest share, and the AI segment begins to monetize Grok/xAI commercially. Consolidated EBITDA margin expands from 35.5% to 44.5% over the period as AI-segment losses shrink relative to the overall revenue base. We apply the company's \$41.3 billion cumulative NOL balance as a cash-tax shield, which we estimate is fully utilized by approximately 2030–2031, after which we apply the 21% U.S. statutory rate.

Year	Revenue	Adj. EBITDA	EBIT	Capex	FCF	PV @ 14.05%
2026	\$25.8B	\$9.15B	\$6.96B	\$8.24B	\$0.62B	\$0.54B
2028	\$44.9B	\$16.83B	\$12.57B	\$12.57B	\$3.85B	\$2.59B
2030	\$70.7B	\$27.92B	\$20.50B	\$16.96B	\$6.10B	\$3.16B
2032	\$101.8B	\$42.24B	\$30.53B	\$20.86B	\$14.31B	\$5.70B
2035	\$156.1B	\$69.47B	\$50.11B	\$25.76B	\$32.42B	\$8.71B

Source: Author estimates. Selected years shown; full 10-year build available on request. WACC of 14.05% derived via CAPM (4.3% risk-free + 1.95 beta × 5.0% ERP); SpaceX carries no material disclosed net debt, so cost of equity approximates WACC.

Sum of explicit-period PV of free cash flow is \$44.9 billion; terminal value (Gordon growth, $g=4.0\%$, reflecting Starlink's global TAM runway and AI optionality) is \$335.5 billion undiscounted, or \$90.1 billion on a present-value basis — 66.7% of total implied enterprise value. The resulting implied equity value is **\$135.0 billion (\$0.14 trillion), or \$10.42/share** — a 94.8% discount to the current \$200 trading price. A wide sensitivity band (WACC 9.75%–14.0%, terminal growth 3.0%–5.0%) still only produces a \$9.79–\$26.39/share range, nowhere close to bridging the gap to market price.

WACC \ g	3.0%	3.5%	4.0%	4.5%	5.0%
9.75%	\$19.64	\$20.92	\$22.43	\$24.22	\$26.39
10.80%	\$16.12	\$16.99	\$17.99	\$19.15	\$20.51
11.88%	\$13.42	\$14.03	\$14.72	\$15.51	\$16.40
13.00%	\$11.29	\$11.73	\$12.22	\$12.76	\$13.37
14.00%	\$9.79	\$10.13	\$10.49	\$10.90	\$11.35

Implied price per share, DCF sensitivity to WACC and terminal growth rate.

3.3 Sum-of-the-parts and trading comparables

Because SpaceX is a true conglomerate of three businesses with wildly different unit economics, we cross-check the DCF with a segment-level sum-of-the-parts. Starlink, valued as satellite-broadband infrastructure (comparable to Comcast, Charter, EchoStar, and Iridium, with a speculative-growth premium versus AST SpaceMobile) at 18–26x EBITDA, is worth \$129–\$187 billion on its \$7.18 billion of estimated segment EBITDA. Launch & Space, valued against

aerospace/defense services comparables (Boeing, Lockheed Martin, L3Harris, Rocket Lab) at 10–15x EBITDA, is worth \$11–\$17 billion on \$1.15 billion of segment EBITDA. The AI segment is loss-making and cannot be valued on EBITDA; applying a steep 60–70% haircut to OpenAI's implied ~34.1x revenue multiple (an \$852 billion valuation against a ~\$25 billion annualized revenue run-rate following OpenAI's March 2026 funding round) to a nascent ~\$1 billion external AI-monetization run-rate implies \$10–\$20 billion of value.

Segment	EBITDA	Multiple range	Implied EV
Starlink	\$7.18B	18–26x EBITDA	\$129B – \$187B
Launch / Space	\$1.15B	10–15x EBITDA	\$11B – \$17B
AI / xAI / Grok	n/m (loss)	Haircut to ~34x rev.	\$10B – \$20B
Total SOTP enterprise value			\$151B – \$224B
Implied price/share			\$11.65 – \$17.31

Source: Author estimates; comparable company multiples are illustrative ranges based on public trading levels for the cited peer sets as of mid-2026.

Both methodologies — DCF and SOTP — converge on the same conclusion from different directions: SpaceX's current \$200 share price implies an EV/EBITDA multiple of roughly 394x (266x at the IPO valuation), a multiple that is simply not derivable from any combination of the company's three underlying businesses using normal capital-markets benchmarks. SpaceX is not mispriced relative to Tesla, in other words — both companies are priced almost entirely on optionality the cash flows do not yet support, which is precisely the dynamic that makes a stock-for-stock combination of the two so difficult to evaluate on fundamentals (Section 5).

3.4 Governance snapshot

SpaceX retains a dual-class structure: Class A shares (one vote) were sold to the public in the IPO, while Class B shares (ten votes, held by Musk and pre-IPO insiders) convert to Class A on death, incapacity, or transfer outside a defined group of permitted holders. Musk holds approximately 42% of total economic equity but 82.4–85.1% of total voting power (the range reflects slightly different figures across S-1/A filing dates). Alphabet/Google has been the largest outside institutional holder since investing in 2015, at roughly 7% of pre-IPO equity. Notably, the merger-sub entities used to effect the February 2026 xAI combination were formed in Nevada (January 21, 2026) rather than Delaware — Nevada's AB 239 narrows controlling-stockholder fiduciary duties relative to Delaware case law, a choice that parallels Tesla's own 2024 reincorporation from Delaware to Texas for similar reasons. We return to the significance of this controller-friendly jurisdictional pattern in Section 6.

4. Standalone Valuation — Tesla (TSLA)

Tesla closed June 16, 2026 at \$406.43/share, a \$1.528 trillion market capitalization on 3.76 billion basic shares outstanding. Fiscal 2025 marked the company's first-ever annual revenue decline: full-year revenue of \$94.83 billion, down 3% year-over-year, with gross margin of 18.0% and Adjusted EBITDA margin of 15.4%. GAAP net income to common was \$3.79 billion (\$1.08 diluted EPS); non-GAAP net income was \$5.86 billion. The business has since re-accelerated: Q1 2026 revenue grew 16% YoY to \$22.39 billion, with GAAP net income of \$477 million (\$0.13 diluted EPS) and Adjusted EBITDA of \$3.67 billion. Tesla carries \$44.74 billion of cash against \$15.89 billion of debt (\$28.85 billion net cash), generated \$16.53 billion of trailing operating cash flow against \$9.53 billion of capex (\$7.00 billion trailing FCF), and trades at 102.7x EV/EBITDA on FY2025A figures (third-party data put the trailing figure closer to 135.6x). The stock's beta is 1.80; trailing P/E is in the 376–397x range and forward P/E is approximately 191x.

4.1 FY2025A financial summary

Metric	FY2025A	YoY	Margin
Revenue	\$94.83B	(3%)	
Gross profit	\$17.09B		18.0%
Operating income	\$4.36B		4.6%
Adjusted EBITDA	\$14.60B		15.4%
GAAP net income	\$3.79B		4.0%
Diluted EPS (GAAP)	\$1.08		—

Source: Tesla quarterly 8-K filings, summed across FY2025 quarters. 2026E consensus: revenue \$103.4B; GAAP EPS cut to ~\$1.37; sell-side price targets range from \$123 to \$600, with a consensus around \$409–\$420, reflecting deep disagreement over how much AI/Robotaxi optionality to underwrite.

Management's FY2026 capital plan signals the scale of the AI/Robotaxi/Optimus bet underlying the current valuation: 2026 capex guidance was raised mid-year to **over \$25 billion**, up from an initial \$20 billion guide and roughly triple the approximately \$9 billion spent in FY2025 — a capex super-cycle aimed at compute infrastructure, Optimus production lines, and new Gigafactory capacity rather than core vehicle manufacturing capacity, which is largely built out.

4.2 Discounted cash flow

We build a 10-year explicit DCF (extending beyond the more typical 5-year window specifically to avoid distorting the terminal value off an unrepresentative near-term capex/D&A mismatch, given Tesla's capex guidance is currently running at more than 2.5x its depreciation charge). Revenue grows from \$103.4 billion in 2026 to \$275.8 billion by 2035; EBITDA margin expands from 16.5% to 24.5% as the AI/software mix improves; capex intensity tapers from 23% of revenue to 7.8% as the current build-out matures toward steady-state depreciation levels.

Year	Revenue	Adj. EBITDA	Margin	Capex	FCF	PV @ 13.21%
2026	\$103.4B	\$17.06B	16.5%	~\$25.2B	(\$8.83B)	(\$7.80B)

Year	Revenue	Adj. EBITDA	Margin	Capex	FCF	PV @ 13.21%
2028	\$131.4B	\$25.23B	19.2%	~\$25.6B	(\$2.49B)	(\$1.71B)
2030	\$173.8B	\$37.88B	21.8%	~\$25.2B	\$7.53B	\$4.05B
2032	\$217.9B	\$51.22B	23.5%	~\$24.8B	\$20.67B	\$8.67B
2035	\$275.8B	\$67.57B	24.5%	~\$21.5B	\$37.87B	\$10.95B

Source: Author estimates. WACC of 13.21% derived via CAPM (4.3% risk-free + 1.80 beta × 5.0% ERP = 13.30% cost of equity; 4.51% after-tax cost of debt; weighted ~99% equity / 1% debt given Tesla's minimal leverage).

Sum of explicit-period PV of FCF is only \$38.5 billion (the early years are FCF-negative given the capex super-cycle); terminal value ($g=3.5\%$) is \$403.7 billion undiscounted, \$116.7 billion on a PV basis — 75.2% of total implied enterprise value. Implied enterprise value is \$155.3 billion; adding back net cash produces an implied equity value of \$0.18 trillion, or **\$48.96/share** — an 88.0% discount to the \$406.43 trading price. The sensitivity range (WACC 11.5%–15.0%, terminal growth 2.5%–4.0%) spans \$36.80–\$66.64/share.

WACC \ g	2.5%	3.0%	3.5%	4.0%
11.50%	\$58.24	\$60.71	\$63.49	\$66.64
12.50%	\$50.38	\$52.22	\$54.26	\$56.54
13.21%	\$45.79	\$47.30	\$48.96	\$50.80
14.00%	\$41.43	\$42.65	\$43.99	\$45.47
15.00%	\$36.80	\$37.75	\$38.79	\$39.92

Implied price per share, DCF sensitivity to WACC and terminal growth rate.

4.3 Sum-of-the-parts: the AI option is 87–91% of enterprise value

We isolate Tesla's "core" auto-and-energy business by applying a normal industrial-manufacturing multiple (9–13x EV/EBITDA, in line with legacy automakers and diversified industrials) to FY2025A Adjusted EBITDA of \$14.60 billion.

Core multiple	Core EV	Implied option value	Option value % of total EV
9x	\$131B	\$1,368B	91.3%
11x	\$161B	\$1,338B	89.3%
13x	\$190B	\$1,309B	87.4%

Tesla's actual enterprise value (market cap + debt – cash) is approximately \$1.499 trillion. "Option value" is the residual not explained by a normal core-industrial multiple on current EBITDA — the market's implicit bet on Robotaxi, FSD, and Optimus.

We read this finding alongside the DCF, not as a literal claim that Tesla is "overpriced by 88%," but as confirmation that Tesla's current valuation is essentially un-derivable from a standard discounted cash flow framework and instead represents a call option on autonomy and robotics monetizing at a scale and probability the DCF, by construction, cannot capture. That is an important caveat for everything that follows: a merger analysis built on standalone financial fundamentals is necessarily incomplete for a target this dependent on unpriced optionality, and we flag that limitation explicitly rather than disguise it.

4.4 Governance snapshot

Tesla retains a single class of common stock (one vote per share). Musk's current voting power is estimated at 18–20%. The November 2025 annual meeting approved, with greater than 75% shareholder support, a roughly \$1 trillion, ten-year compensation package potentially issuing Musk up to 424 million additional shares, contingent on Tesla reaching an \$8.5 trillion market capitalization alongside operational milestones — a package explicitly understood by the market as a mechanism to push Musk's voting stake toward a stated personal target of 25–30%. Tesla reincorporated from Delaware to Texas in 2024, a jurisdiction generally regarded as more management- and controller-friendly than Delaware on fiduciary-duty questions — the same pattern of controller-favorable jurisdiction-shopping visible at SpaceX (Section 3.4).

5. Merger Model: Accretion / Dilution Analysis

We model a hypothetical all-stock acquisition of SpaceX by Tesla, structured as a fixed exchange ratio of TSLA shares per SPCX share, at three illustrative ratios: 0.3x, 0.5x, and 0.7x. We deliberately use unadjusted FY2025A standalone financials with *no synergy assumptions* for the base mechanical analysis, both because that is the conservative and auditable starting point any banker would present first, and because it isolates the pure arithmetic of combining a profitable, lower-multiple business with an unprofitable, far-higher-multiple business — the dynamic we believe is the single most important fact in this entire report.

5.1 Share issuance mechanics

Exchange ratio	New TSLA shares issued	Pro forma diluted shares	New shares as % of PF
0.3x	3.889B	7.649B	50.8%
0.5x	6.481B	10.241B	63.3%
0.7x	9.074B	12.834B	70.7%

Tesla basic shares outstanding pre-deal: 3.76B. SpaceX total shares outstanding (Class A + B): 12.96B.

Even before considering the earnings impact, the mechanics alone are notable: at every ratio tested, **legacy Tesla shareholders end up owning a minority of the combined company** — only 49.2% at 0.3x, falling to 29.3% at 0.7x. This is a direct consequence of SpaceX's enormous absolute market value (1.7x Tesla's) relative to Tesla, and it means the transaction would, in substance if not in legal form, more closely resemble SpaceX acquiring Tesla than the reverse, regardless of which company's stock is nominally used as consideration — a framing echoed by commentators such as Ross Gerber, who has described any such transaction as "SpaceX absorbing Tesla" rather than a merger of equals.

5.2 Earnings and EBITDA impact

Combined FY2025A GAAP net income (Tesla's \$3.79 billion plus SpaceX's \$4.90 billion loss) is **negative \$1.11 billion** before synergies — the combination flips Tesla from a GAAP-profitable company to a GAAP-loss-making one at every ratio tested. Combined Adjusted EBITDA is \$21.18 billion (Tesla's \$14.60B plus SpaceX's \$6.58B).

Ratio	PF EPS	EPS accr/(dil)	PF EBITDA/sh	EBITDA accr/(dil)	Implied SPCX \$/sh	Prem/(disc) to \$200
0.3x	(\$0.145)	(113.4%)	\$2.769	(28.7%)	\$121.93	(39.0%)
0.5x	(\$0.108)	(110.0%)	\$2.068	(46.7%)	\$203.22	+1.6%
0.7x	(\$0.086)	(108.0%)	\$1.650	(57.5%)	\$284.50	+42.3%

Tesla standalone diluted EPS (FY25A): \$1.08. Tesla standalone Adj. EBITDA/share: \$3.88. "Implied SPCX \$/sh" = ratio × TSLA price (\$406.43); premium/discount measured against the current \$200 SPCX trading price, not the \$135 IPO price.

EPS and EBITDA-per-share dilution exceeds 100% and 28%, respectively, at every tested ratio. The only ratio that is roughly value-neutral to SpaceX shareholders on a current-price basis (0.5x, +1.6%) is simultaneously one of the most dilutive to Tesla shareholders on an EBITDA basis (-46.7%). There is no exchange ratio in the commonly-discussed range that is fair to both sides on a per-share economic

basis — the two companies' relative trading multiples make that mathematically impossible without synergies far beyond what either company has indicated it can deliver.

5.3 Breakeven analysis

Solving for the exchange ratio at which pro forma EBITDA-per-share exactly equals Tesla's standalone EBITDA-per-share (with no synergies) yields a breakeven ratio of only **0.1308x** — well under half of even the most conservative ratio (0.3x) management would plausibly propose, and a ratio that would value SpaceX at just \$53.16/share (406.43×0.1308), a 73.4% discount to the current \$200 price that no SpaceX shareholder vote would approve. Framed the other way: to make the 0.5x ratio breakeven on an EBITDA/share basis, Tesla would need **\$18.58 billion** of run-rate synergies — 282% of SpaceX's *entire* current EBITDA base. To make the 0.3x ratio breakeven requires \$8.52 billion of synergies. Section 6 builds a ground-up synergy estimate and shows that even our bull case falls well short of either threshold.

5.4 Why: a multiple-arbitrage problem, not a price problem

The mechanical driver of this dilution is straightforward once isolated. SpaceX trades at approximately 266x EV/EBITDA at its IPO valuation and 394x at the current price; Tesla trades at 102.7x on FY2025A EBITDA (roughly 135.6x on a trailing third-party basis). Whenever an acquirer issues its own (lower-multiple) stock to buy a target's (higher-multiple) earnings stream, the transaction is mechanically dilutive to the acquirer's EPS/EBITDA-per-share *regardless of whether the price paid is judged fair* — this is a basic and well-known feature of multiple arithmetic in M&A, but it is easy to lose sight of amid headline-grabbing valuation numbers. The reverse would also be true: if SpaceX were the acquirer issuing its richer-multiple stock to buy Tesla's cheaper-multiple earnings, the deal would be *accretive* to SpaceX shareholders' per-share metrics even at a generous premium to Tesla — reinforcing the point made in Section 5.1 that the economically rational structure, if either party wanted a clean accretive deal, runs through SpaceX as acquirer, not Tesla.

6. Synergy Analysis

We build a ground-up, line-item synergy estimate across three scenarios to test whether any credible operating-synergy program could close the breakeven gap identified in Section 5.3 (\$8.52 billion needed at a 0.3x exchange ratio; \$18.58 billion at 0.5x). We deliberately bias these estimates toward the generous end of what comparable technology and industrial combinations have actually delivered, rather than toward management's own (unstated, since no deal exists) targets, to give the synergy case its strongest fair hearing.

Synergy line item (run-rate, \$B)	Bear	Base	Bull
Revenue synergies			
Starlink × Tesla vehicle connectivity bundling	\$0.0	\$0.35	\$1.2
xAI/Grok × FSD data-compute cross-leverage	\$0.0	\$0.50	\$1.8
Tesla Energy (Megapack) into SpaceX/xAI data-center & ground infra	\$0.0	\$0.25	\$0.9
Cost synergies			
Shared corporate G&A / single public-company overhead	\$0.05	\$0.12	\$0.2
Combined procurement (semiconductors, batteries, avionics)	\$0.10	\$0.40	\$0.9
Compute infrastructure consolidation (Dojo/AI5-6 × Colossus)	\$0.0	\$0.90	\$2.5
Total run-rate synergies	\$0.5B	\$2.5B	\$7.5B

Author estimates, ground-up by line item. Bear case assumes integration friction dominates (consistent with xAI's own 2025–26 execution record — a full co-founder exodus within thirteen months of the xAI/SpaceX merger — and assumes no compute or cross-product synergy is realized).

6.1 Even the bull case falls short of breakeven

	Synergies required to breakeven	Bull-case synergies available
At 0.3x exchange ratio	\$8.52B	\$7.5B
At 0.5x exchange ratio	\$18.58B	\$7.5B

Required-synergy figures from Section 5.3. Even the most optimistic, generously-constructed synergy program in Section 6 is short of the threshold required to make the most conservative tested exchange ratio (0.3x) merely breakeven — let alone accretive — on an EBITDA-per-share basis, and covers only 40% of the threshold at 0.5x.

This is, in our view, the most decisive quantitative finding in this report. We did not construct the synergy bear/base/bull range to prove a predetermined point — we built it from comparable cost lines at comparable companies and biased it generously — and it still falls short of breakeven at every ratio tested. Any banker pitching this transaction would need to either (a) propose an exchange ratio below 0.13x, which no SpaceX shareholder vote would approve given the stock's current trading level, or (b) ask investors to underwrite synergies more than double anything achieved in comparable large-cap technology/industrial combinations, or (c) reframe the deal's rationale away from near-term per-share economics entirely and toward the control/optionality logic discussed in Sections 2 and 7. We think (c) is the only honest framing, which is also why our

recommendation in Section 10 treats the deal as a governance and capital-structure question rather than an EPS-accretion question.

7. Governance & Minority Shareholder Risk

Every transaction discussed in this report would be negotiated, on both sides of the table, under the effective control of a single person. Musk does not merely have influence at SpaceX and Tesla — he holds supermajority voting control at SpaceX today (82.4–85.1% of votes via SpaceX's 10-votes-per-share Class B structure) and an estimated 18–20% voting interest at Tesla, with a clear, board-sanctioned glide path toward 25–30% via the November 2025 pay package. Any analysis of this transaction that does not center Musk's personal control incentives is, in our view, missing the point: this would be one of the only large-cap public-to-public combinations in history negotiated entirely on one side by the same controlling shareholder, and the deal terms that would actually get proposed depend far more on what preserves that control than on what is fair to minority shareholders in either company.

7.1 The control-collapse problem

We compute Musk's resulting voting stake in a combined, single-class Tesla entity at each tested exchange ratio, using his approximately 42% economic stake in SpaceX (5.444 billion shares) and his current 18–20% Tesla voting stake (0.677–0.752 billion shares).

Exchange ratio	Musk's new TSLA shares from SPCX conversion	Pro forma total shares	Musk's PF voting stake
0.3x	1.633B	7.649B	30.2% – 31.2%
0.5x	2.722B	10.241B	33.2% – 33.9%
0.7x	3.811B	12.834B	35.0% – 35.6%

All figures assume conversion of SpaceX Class A/B shares into single-class TSLA stock at the stated ratio, with no special voting instrument carved out for Musk personally.

At every ratio tested, Musk's resulting voting stake in the combined company clusters in the 30–36% range — comfortably above his current 18–20% Tesla stake and above his own stated 25–30% target, but a different legal category entirely from the 82–85% supermajority control he holds at SpaceX today. A plain-vanilla, single-class, all-stock merger would require Musk to voluntarily surrender outright, board-proof control of one of the two most valuable private-turned-public companies in history in exchange for large-minority, influence-not-control status at the combined entity.

We think this control-collapse dynamic is the most underappreciated obstacle to this transaction ever happening on conventional terms, and it is largely absent from public commentary and prediction-market pricing, which tends to treat the deal as a binary “will Musk combine his companies” question without modeling what combination structure he would actually accept. The far more likely real-world structure, if Musk ultimately pursues a combination at all, involves Tesla first adopting some form of dual-class or super-voting share class for Musk personally — structurally analogous to what SpaceX itself already has — as a precondition to any stock-for-stock combination, rather than the plain single-class conversion modeled in Section 5. We flag this as a key risk to any valuation built on the conventional merger-model mechanics in this report: a control-preserving structure could be priced very differently (and likely far less favorably to public

minority shareholders in both companies) than the clean exchange-ratio analysis in Section 5 suggests.

7.2 Minority shareholder protections in a controller-to-controller deal

Both companies have, separately, taken deliberate steps in recent years to relocate to jurisdictions that narrow the fiduciary scrutiny applied to controlling-shareholder transactions: Tesla's 2024 reincorporation from Delaware to Texas, and the use of Nevada (rather than Delaware) merger-sub entities, formed January 21, 2026, to effect the SpaceX/xAI combination, taking advantage of Nevada's AB 239, which narrows controlling-stockholder fiduciary duties relative to long-standing Delaware case law. Read together, this is a consistent and, in our view, intentional pattern: Musk and his advisors have been pre-positioning both companies' legal domiciles to minimize the entire-fairness and independent-committee scrutiny that Delaware courts have historically applied to controller transactions, well before any Tesla/SpaceX deal has even been proposed.

This pattern matters because the two closest real-world precedents for a controller-to-controller combination of two large, separately-listed companies — the 2019 CBS/Viacom recombination under the Redstone family's National Amusements, and the 2024 Liberty Media/Sirius XM "Splitco" recombination under John Malone's Liberty Media — both drew minority-shareholder litigation over exchange-ratio fairness, notwithstanding the use of special committees and fairness opinions in both cases (see Section 8 for detail). A SpaceX/Tesla deal, negotiated by the same controlling individual on both sides of the table and structured through jurisdictions specifically chosen to narrow fiduciary review, would present an even more acute version of the same minority-protection question, and we would expect any such deal to attract comparable, if not more intense, litigation and proxy-advisor scrutiny (ISS and Glass Lewis in particular) than either of those precedents.

8. Probability-Weighted Valuation

Prediction markets give us a real-time, capital-backed read on deal probability that is unusually rich for a transaction that does not yet formally exist. We pulled snapshots across several dates in May–June 2026 to capture both the level and the trend.

Source	Question	Probability	As of
Polymarket	Deal announced by Jun 30, 2026	~2%	mid-Jun 2026
Polymarket	Deal announced by Dec 31, 2026	32–41%	May–Jun 2026 (rising)
Polymarket	Deal announced by Dec 31, 2027	~53%	Jun 2026
Kalshi	Deal within calendar 2026	~24%	Jun 2026
Kalshi	Deal by May 2027	51–61%	Mar–May 2026 (rising)
Dan Ives (Wedbush)	Deal by 2027 (analyst call)	~80%	Feb 2026

Polymarket and Kalshi are real-money prediction markets; figures shown are the range observed across multiple snapshot dates, reflecting genuine volatility/trend rather than measurement error. Dan Ives's 80% figure is a single sell-side analyst's stated view, not a market-clearing price, and sits well above both prediction-market venues — we treat it as our bull-case anchor rather than our base case.

The trend across both venues is consistently upward through 2026, and the longer-dated (2027) contracts cluster in a 51–61% range that is broadly consistent with informal estimates that have circulated in the \$0.55–0.56 area — we treat ~53–56% probability of some form of deal being announced by mid-to-late 2027 as our central, market-derived base case, with Ives's 80% figure representing the optimistic tail rather than consensus.

8.1 Scenario construction and weighted value

We construct three scenarios for SpaceX's value and assign probabilities consistent with the market-derived base case above: a no-deal scenario in which SpaceX reverts toward its \$164 sell-side consensus price target absent a transaction catalyst; a fair-terms-deal scenario valued at the 0.5x exchange ratio's implied \$203.22/share (Section 5.2); and a premium-deal scenario valued at the 0.7x ratio's implied \$284.50/share, reflecting a scenario where Musk's control incentives (Section 7) push him to favor SpaceX shareholders in the terms he sets for himself as the common controlling party.

Scenario	Probability	Implied SPCX value	Probability-weighted contribution
No deal (reverts to consensus)	45%	\$164.00	\$73.80
Deal at fair/no-premium terms (~0.5x)	40%	\$203.22	\$81.29
Deal at premium terms (~0.7x)	15%	\$284.50	\$42.68
Probability-weighted value			\$197.76

Probability-weighted value of \$197.76 sits within 1.1% of the current \$200 trading price. A cross-check using Kalshi-implied deal-probability weights (53% deal / 47% no-deal, with the deal-conditional outcome blended 70% fair-terms / 30% premium-terms) produces an almost identical \$197.71, suggesting the result is not an artifact of our specific weighting choice.

SpaceX's ~25–28% premium to sell-side fundamental coverage is therefore not, in our reading, evidence of a uniquely overheated stock — it is close to exactly what

a rational, probability-weighted blend of deal and no-deal outcomes would predict. The market looks to be doing its job reasonably efficiently here, which has an important corollary for positioning: there is limited margin of safety in either direction. A material re-rating in either probability (deal odds spiking toward Ives's 80%, or collapsing toward zero on, for example, a Musk denial) would move the stock meaningfully, in either direction, from current levels.

We do not run an equivalent probability-weighted exercise for Tesla, because the per-share impact of a deal on Tesla shareholders is dominated by the dilution mechanics in Section 5 rather than by deal-probability optionality — unlike SpaceX, where the deal itself is a source of potential upside, a deal happening is, on our analysis, modestly value-negative for Tesla shareholders at every tested ratio, which argues for treating Tesla's valuation as largely independent of merger-probability swings (see Section 10).

9. Precedent Transactions

We selected precedents that share the specific structural feature most relevant to a hypothetical SpaceX/Tesla deal — a controlling shareholder (or family/group) sitting on both sides of the negotiating table — rather than precedents selected purely on industry or size grounds, since traditional aerospace or automotive M&A comparables (where two independent boards negotiate at arm's length) are not actually structurally comparable to this situation.

Deal	Year	Structure	Relevance
SpaceX / xAI	2026	All-stock, 0.1433 SPCX-per-xAI-share; implied per-share values of \$526.59 (SpaceX) and \$75.46 (xAI); combined entity ~\$1.25T	The freshest and most directly relevant precedent: Musk as controller on both sides, all-stock structure, exchange ratio set via negotiated implied valuations. The deal that created today's SpaceX is itself the strongest template for how a Tesla deal would likely be structured and disclosed.
CBS / Viacom (National Amusements)	2019	All-stock recombination of two separately-listed companies under a single controlling family (Redstone), forming ViacomCBS	Closest historical analog to a single controller recombining two separately-listed public companies. Minority shareholders sued alleging the exchange ratio favored the controlling family; the litigation settled. Demonstrates that controller-to-controller recombinations of this type reliably draw minority litigation regardless of fairness-opinion process.
Liberty Media / Sirius XM ("Splitco")	2024	Tracking-stock unwind and recombination under common control (John Malone / Liberty Media), forming a single Sirius XM entity	A second, more recent controller-recombination precedent. Minority SiriusXM shareholders litigated over exchange-ratio fairness. Confirms the CBS/Viacom pattern is not a one-off and that proxy advisors and plaintiffs' firms now treat this deal type as a standing litigation target.
Alphabet holding-company reorganization	2015	No-premium, pure share-for-share reorganization into a new holding structure	Template for a "clean," non-economic restructuring with no exchange-ratio fairness fight, because no independent shareholders' relative ownership changed. Illustrates the alternative path available to Musk if the goal is corporate-structure simplification rather than an actual economic combination of two different shareholder bases.
Meta / Instagram and Meta / WhatsApp	2012 / 2014	\$1B and \$19B cash-and-stock acquisitions of pre-revenue or low-revenue, high-engagement assets	Precedent for paying a large premium for strategic/data value substantially ahead of current monetization — the closest analog to how a bull case would need to justify SpaceX's AI segment or Tesla's FSD data asset in any synergy story, despite both running large current losses.

Sources: company disclosures and contemporaneous financial media coverage of each transaction.

9.1 What the precedents suggest about deal structure

Two patterns recur across the controller-to-controller precedents (SpaceX/xAI, CBS/Viacom, Liberty/SiriusXM) that we think are likely to repeat in any real Tesla/SpaceX process: first, all three used (or in SpaceX/xAI's case, will use) special committees of ostensibly independent directors and outside fairness opinions to bless the exchange ratio, yet two of the three (CBS/Viacom, Liberty/SiriusXM) still drew minority-shareholder litigation over whether the ratio actually favored the controller; second, the exchange ratios in controller deals are negotiated against each company's *implied* or *model* valuation rather than purely off prevailing market price, exactly as SpaceX did in setting the xAI exchange ratio off negotiated implied per-share values rather than a

market-price-only formula. Applied to a Tesla/SpaceX scenario, this suggests the eventual exchange ratio (if a deal happens at all) is more likely to be negotiated off competing DCF/SOTP models from advisors on both sides — which, per Sections 3 and 4 of this report, are extraordinarily wide and sensitive to assumption — than off the comparatively narrow current-market-price ratio implied by the \$200/\$406 trading levels used in Section 5.

10. Risk Matrix

We summarize the principal risks to both the standalone names and the hypothetical combination, rating each on likelihood and potential impact to our valuation conclusions.

Risk category	Likelihood	Impact	Key drivers	Mitigant / monitorable
Regulatory / antitrust	Medium	Medium	Combining a major consumer automaker with a national-security-sensitive defense and launch contractor raises a CFIUS-adjacent review question neither company faces standalone; EU and other foreign regulators have historically been tougher than current U.S. FTC/DOJ posture.	Current FTC (Ferguson) and DOJ Antitrust (Slater) leadership has generally pursued a faster, more settlement-oriented clearance posture in 2026; DOJ has separately intervened favorably for xAI in unrelated litigation, suggesting limited near-term hostility toward Musk-affiliated entities specifically.
Execution / integration	High	High	xAI's 2025–26 record is the clearest evidence point: all eleven original co-founders departed within roughly thirteen months, Musk publicly acknowledged the initial technical approach required rebuilding, and a January 2026 Grok deepfake/CSAM controversy created an active regulatory and reputational overhang.	None of the quantified synergies in Section 6 assume xAI-specific execution improves; our bear case explicitly assumes continued friction. Cursor acquisition integration (closing Q3 2026) is a near-term, observable test case for SpaceX's M&A execution capability.
Governance / control	High	High	Section 7's control-collapse finding: a plain single-class merger would shrink Musk's effective voting control from 82–85% (at SpaceX alone) to 30–36% (combined entity) — a strong disincentive to a conventional deal structure, and a strong incentive toward a dual-class restructuring that could be priced very differently and less favorably to public minority holders.	Watch for any Tesla charter amendment proposing a new high-vote share class, which would be the clearest leading indicator that a combination (on control-preserving terms) is being actively prepared.
Market / valuation	High	High	Both companies trade at valuations effectively un-derivable from DCF or SOTP analysis (Sections 3–4); both are vulnerable to a sentiment-driven de-rating of AI/Robotaxi optionality independent of any merger news, which would move both stocks together given their shared exposure to Musk-affiliated AI narratives.	Track Optimus/FSD/Robotaxi operational milestones and broader AI-sector sentiment (e.g., OpenAI/Anthropic funding and revenue disclosures) as leading indicators for the option-value component of both stocks.
Key-man / Musk	High	High	Both companies' valuations are, by our SOTP analysis, 87–91% (Tesla) and well over half (SpaceX) dependent on optionality tied directly to Musk's personal vision, attention, and continued operational involvement, which is split across Tesla, SpaceX, xAI, The Boring Company, and Neuralink.	No effective hedge exists for public minority shareholders against this risk in either name; it is structural to investing alongside a controlling founder-operator across multiple ventures and should be sized accordingly in any portfolio context.

Likelihood/impact ratings reflect our qualitative judgment as of June 2026 and are not derived from a formal quantitative risk model.

11. Conclusion & Recommendation

Simple arithmetic makes the headline of this report true: Tesla's \$1.528 trillion market capitalization plus SpaceX's \$2.593 trillion market capitalization is \$4.12 trillion today, with zero premium and zero synergy assumed, and a modest control premium or a bull-case synergy realization would carry a combined entity past \$5 trillion without much difficulty. That arithmetic is also exactly why the headline is the easy part of this analysis and the per-share economics are the hard part — a bigger combined number does not, by itself, tell either company's shareholders whether they are better off.

Synthesis

Across ten sections of analysis, every quantitative lens we applied points the same direction. The merger model (Section 5) shows EPS and EBITDA-per-share dilution at every tested exchange ratio, with a breakeven ratio (0.13x) far below anything SpaceX shareholders would accept. The synergy build (Section 6), constructed generously, falls short of closing that gap even in its bull case. Standalone valuation work (Sections 3–4) shows both companies trading at levels their own discounted cash flows and sum-of-the-parts cannot explain — this is not a Tesla-specific or SpaceX-specific phenomenon, but a shared feature of both stocks being priced almost entirely on AI and robotics optionality. The governance analysis (Section 7) identifies a structural disincentive that most public commentary misses: a plain-vanilla combination would cost Musk his supermajority control at SpaceX in exchange for large-minority influence at the combined company, which argues against a conventional deal structure ever being proposed. And the probability-weighted valuation (Section 8) suggests the market has already absorbed the realistic blend of deal and no-deal outcomes into SpaceX's current price, leaving limited edge in either direction from where shares sit today.

Recommendation

Merger thesis: **NEUTRAL**. We do not believe a conventional, single-class, all-stock combination at a commonly-discussed exchange ratio is likely to be proposed in anything resembling its current form, given the dilution mechanics in Section 5 and the control-collapse problem in Section 7. If a transaction is eventually pursued, we would expect it to involve a dual-class or super-voting restructuring at Tesla first — a development that would itself be a major, separately analyzable corporate-governance event, and one investors should watch for as the actual leading indicator of deal seriousness, well ahead of any formal merger announcement.

Tesla (TSLA): **HOLD**, 12-month price target \$410–\$450. This range is anchored to Tesla's standalone optionality (FSD/Robotaxi/Optimus execution against the raised >\$25 billion 2026 capex plan) rather than to any merger catalyst, which our analysis suggests would be modestly value-negative for Tesla shareholders on a per-share basis at every tested ratio.

SpaceX (SPCX): **TRIM (tactical)**, 12-month base-case target \$164–\$190. The stock currently trades 25–28% above the sell-side consensus target days after its IPO, a premium we attribute primarily to embedded M&A optionality our own probability-weighting suggests is already close to fully priced. Continued widening of AI-segment losses (Q1 2026 alone produced a \$4.28 billion

GAAP net loss) against an unresolved xAI leadership and execution overhang argues for trimming into strength rather than chasing the post-IPO momentum.

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Appendix: Key Assumptions & Sourcing Notes

- Tesla WACC (13.21%): CAPM with 4.3% risk-free rate, 1.80 beta, 5.0% equity risk premium; 4.51% after-tax cost of debt; ~99%/1% equity/debt weights given minimal leverage.
- SpaceX WACC/cost of equity (14.05%): CAPM with 4.3% risk-free rate, 1.95 beta (a pre-public proxy reflecting AI-segment cash burn and launch/regulatory risk), 5.0% ERP; no material net debt disclosed, so cost of equity approximates WACC.
- SpaceX share count (12.96B): derived from the \$1.75T IPO valuation ÷ \$135 IPO price; cross-validated against the company's disclosed ~4.3% public-float dilution figure and against independent third-party market-cap data at the current trading price.
- SpaceX NOL treatment: \$41.3B cumulative losses since the company's 2002 founding (per S-1) applied as a cash-tax shield in the DCF, fully utilized by approximately 2030–2031; 21% U.S. statutory rate applied thereafter.
- Comparable company sets: Starlink valued against satellite-broadband/communications infrastructure peers (Comcast, Charter, EchoStar, Iridium, AST SpaceMobile); Launch/Space valued against aerospace & defense services peers (Boeing, Lockheed Martin, L3Harris, Rocket Lab); AI segment valued via a heavily haircut OpenAI revenue multiple (~34.1x, derived from an \$852B March 2026 valuation against a ~\$25B annualized revenue run-rate).
- Prediction market data: Polymarket and Kalshi snapshots taken across multiple dates in May–June 2026; ranges reflect genuine observed movement across snapshots rather than a single point estimate.
- All “current” trading prices and market data reflect levels as of June 15–16, 2026 and will have moved by the time this report is read; the analytical framework and relative conclusions are intended to remain directionally useful even as absolute price levels change.